

# FEDERAL MARITIME COMMISSION

BALTIC AUTO SHIPPING, INC.

*Complainant,*

v.

MICHAEL HITRINOV a/k/a  
MICHAEL KHITRINOV, EMPIRE  
UNITED LINES CO., INC.

*Respondents.*

Docket No. 14-16

Served: April 21, 2017

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**BY THE COMMISSION:** Michael A. KHOURI, *Acting Chairman*; Rebecca F. DYE, Mario CORDERO, William P. DOYLE, Daniel B. MAFFEI, *Commissioners*.

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## **Memorandum Opinion and Order**

This matter was originally before the Commission for consideration of exceptions filed by Complainant. Prior to issuing an opinion and order addressing those exceptions, Complainant filed a motion to withdraw its exceptions and to discontinue the action, which Respondents contested in part. For the reasons discussed below, the Commission grants Complainant's motion in part and dismisses the proceeding.

## I. Background

On November 28, 2014, Complainant, a licensed non-vessel-operating common carrier (NVOCC), filed a Complaint alleging that Michael Hitrinov a/k/a Michael Khitrinov (Hitrinov) and Empire United Lines Co. Inc., an NVOCC (collectively Respondents) committed various violations of the Shipping Act of 1984 (Shipping Act or Act). On January 9, 2015, Complainant filed an amended complaint (Complaint) alleging violations of 46 U.S.C. §§ 40501(a) (failing to keep tariffs open to public inspection), 41102(a) (obtaining transportation at less than applicable rates), 41104(2)(a) (providing service not in accordance with rates), 41104(4)(a) (engaging in an unfair or unjustly discriminatory practice), 41104(8) (giving an undue or unreasonable preference or imposing any undue or unreasonable disadvantage); and 41102(c) (failing to establish, observe, and enforce just and reasonable regulations and practices).

Respondents filed a motion for Partial Summary Decision, and on September 15, 2015, the ALJ issued an Initial Decision granting the motion on statute of limitations grounds. *Baltic Auto Shipping Inc., v. Hitrinov*, 33 S.R.R. 1238, 1244 (ALJ 2015). Accordingly, the ALJ dismissed the proceeding. *Id.* at 1245.<sup>1</sup> Complainant filed Exceptions on January 15, 2016, and Respondents responded on March 3, 2016.

Before the Commission could rule on the exceptions, however, Complainant informed the Commission via email on April 27, 2016, that “all claims and counterclaims in this matter have been resolved to the mutual satisfaction of the parties.” Furthermore, Complainant advised that it would be withdrawing its Exceptions to the ALJ’s Initial Decision and requested that the Commission stay all

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<sup>1</sup> The ALJ also determined that, although a 2011 Settlement Agreement and Mutual Release in the U.S. District Court for the District of New Jersey did “not prevent the Commission from deciding whether Empire violated the Act, the release in the 2011 Settlement does prevent Baltic from receiving a reparations award for any actual injuries that it now claims it suffered as a result of the violations.” *Baltic*, 33 S.R.R. at 1270.

activity pending a settlement agreement between the parties, to be delivered within 60 days of the date of the letter. On May 27, 2016, Complainant advised the Commission's Office of the Secretary (OS) that Complainant had filed a Settlement Agreement in an unrelated matter before the U.S. District Court for the District of New Jersey, was awaiting a countersigned copy by the Respondents, and upon receipt would file a formal notice of withdrawal in the Commission case. On August 8, 2016, after receiving no notice of withdrawal or settlement agreement between the parties, the Commission ordered the parties to file a joint status report.

On August 15, 2016, Complainant filed the pending Motion to Withdraw Appeal and Discontinue Action ("Motion to Withdraw") and a status report. Complainant argued that the Presiding Officer, per Rule 72 of the Commission's Rules of Practice and Procedure, should dismiss the action. Motion to Withdraw at 3-4. The same day, Respondents submitted a separate status report stating that they would not agree to the joint stipulation to withdraw the appeal. Respondents stated that Complainant had not explained why a joint stipulation was necessary. Also, they could not agree with the language in the stipulation that states: "this matter shall be discontinued with prejudice, and without costs, attorneys' fees or disbursements to either party as against each other."

On August 30, 2016, Respondents filed a response in opposition to Complainant's request to discontinue the action. In their response, Respondents consented to Complainant's withdrawal of its Exceptions, but argued that per Commission Rule 72 "only upon a stipulation of the parties" could the matter be discontinued. Opposition to Discontinuance at 2. As they would not consent to dismissal of the proceeding in its entirety, Respondents argued that the initial decision should become the decision of the Commission. *Id.* Respondents further argued that the award of attorney fees is mandated at this stage of the proceeding. *Id.* at 3.

On September 2, 2016, Complainant submitted a reply in support of its motion to withdraw/discontinue. In its reply,

Complainant argued that by agreeing to the withdrawal of the appeal on the record in the New Jersey court action, and by drafting a Settlement Agreement that released the parties' liability for attorney fees, Respondent waived all claims for attorney fees. Reply on Respondents' Motion at 3-4. In support, Complainant attached an appendix containing a transcript from the New Jersey district court proceeding and an unsigned settlement agreement. Complainant also filed a Motion for Confidential Treatment, in which Complainant argued, pursuant to Commission Rule 201, that an Order should be granted affording confidential treatment for its Reply on Respondent's Motion, and the attached appendix. Motion for Confidential Treatment at 1. Although Complainant filed these documents with the Commission, it served Respondents with a redacted version of the reply brief, and it did not serve the appendix on Respondents.

On September 16, 2016, Respondents submitted a Response to Complainant's Seriatim Motions of September 2, 2016, wherein Respondents argued that Complainant was seeking a remedy for breach of contract, which is not within the Commission's jurisdiction. Respondents also argued that the Complainant's motion requesting confidentiality failed to satisfy the requirements of 46 C.F.R. § 502.5(b). See Response to Complainant's Seriatim Motions of September 2, 2016, at 3-4. Respondents further argued that Complainant's failure to provide Respondents with the appendix and an un-redacted version of the reply violated the Respondents' due process rights and is an ex parte communication.<sup>2</sup> *Id.* at 5-6.

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<sup>2</sup> Respondents also stated that a breach of a settlement agreement in New Jersey Federal Court does not provide a basis for a claim under the Shipping Act and, therefore, Complainant's "claim" for such breach is not within the Commission's authority. See Response to Complainant's Seriatim Motions of September 2, 2016 at 3-4. Complainant did not argue that the breach of the agreement in New Jersey Federal Court was a breach of the Shipping Act. Complainant argued that the agreement in New Jersey Federal Court is evidence, though indirect in nature, of fraud upon the Commission by Respondents and evidence of a prior agreement by the parties to dismiss the action in its entirety including attorney fees. See Reply on Respondents' Motion at 3-4.

On September 20, 2016, Complainant filed a Response to Respondents' Unauthorized Sur-Reply. Complainant objected to Respondents' September 16, 2016, response brief, characterizing it as a sur-reply filed without leave of the Commission. Response to Respondents' Unauthorized Sur-Reply at 1-2. Furthermore, Complainant argued that as Respondent was in possession of an un-redacted version of the settlement agreement, Respondent's attorney's argument that he should be served a copy was fraudulent. *Id.* at 3.

On January 5, 2017, the Commission ordered Complainant to provide Respondents with an un-redacted version of its reply in support of its motion to withdraw/discontinue, the transcript of the U.S. District Court proceeding, and the Settlement Agreement. The Commission also corrected Respondents' misinterpretation of Commission regulations on dismissal and attorney fees. Complainant subsequently complied with the Commission's order. On February 16, 2017, in light of the newly received appendix and un-redacted reply, Respondents filed a Sur-Reply Memorandum. On March 12, 2017, Complainant filed a Motion to Strike Respondents' Unauthorized Sur-Reply of February 16, 2017.

## II. Discussion

The main issue at hand is whether the Commission should deny or grant the Complainant's Motion to Withdraw Appeal and Discontinue Action.<sup>3</sup> The Commission must also address Complainant's objections to Respondents' September 16, 2016, response brief and February 16, 2017, sur-reply.

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<sup>3</sup> Under 46 C.F.R. § 502.230(e), the Commission may also remand the proceeding to the presiding officer for the taking of additional evidence or determining points of law.

The Commission accepts the filings and grants Complainant's Motion to Withdraw Appeal and Discontinue Action in part.

A. Acceptance of the Respondents' Sur-Replies

1. *Sur-Reply of February 16, 2017*

Complainant argues that Respondents' February 16, 2017, sur-reply in opposition to the motion to withdraw/discontinue violates the Commission's regulations. Under 46 C.F.R. § 502.70(d), a party may not file a sur-reply unless requested by the Commission or upon "a showing of extraordinary circumstances." 46 C.F.R. § 502.70(d). Although the Commission did not request Respondents' sur-reply, sufficiently extraordinary circumstances exist to allow the sur-reply in this case. Specifically, as made evident by the Commission's order to provide the un-redacted materials submitted with Complainant's September 2, 2016, reply, Complainant's motion to withdraw/discontinue did not provide the Respondents with sufficient information to respond to Complainant's arguments, which were based in part on the additional documents submitted with the reply. Respondents should, therefore, be afforded the opportunity to adequately respond. *See, e.g., NRDC v. EPA*, 25 F.3d 1063, 1071 n.4 (D.C. Cir. 1994) ("We require petitioners . . . to provide opposing counsel the chance to respond."); *Ocean Common Carrier Status of Shanghai Hai Hua Shipping Co., Ltd. (HASCO) and SNL/HASCO Cross Space Charter and Sailing Agreement: FMC Agreement No. 011807*, 29 S.R.R. 1231, 1236, 2003 FMC LEXIS 22 at 17 (FMC 2003) (reply allowed "to ensure a full airing of the parties' views."). *But see Carolina Marine Handling, Inc. v. South Carolina State Ports Auth.*, 30 S.R.R. 1243, 1245 (FMC 2006) (denying leave to file a reply memorandum because petitioners were merely seeking to rebut arguments in complainant's reply.)

In the past, presiding officers had the authority to waive the previous rule prohibiting a reply to a reply,<sup>4</sup> and could exercise this authority “to prevent undue hardship, manifest injustice or if the expeditious conduct of business so requires.” 46 C.F.R. § 502.10. *See Matson Navigation Co., Inc.--Hawaiian Cargoes*, 25 S.R.R. 245, 245-246 (ALJ 1989) (allowing a sur-rebuttal memorandum “as a matter of fairness” and to help the Commission give a definitive ruling); *Int’l Ass’n of NVOCC’s v. Atl. Container Line*, 25 S.R.R. 183, 184 (ALJ 1989) (waiving the rule prohibiting replies to replies pursuant to 46 C.F.R. § 502.10, because it allowed for clarification of the ruling, avoidance of misunderstanding, and ruling did not prejudice prior rulings); *Universal Fixture Mfg. Co., Inc. v. Asia N. Am. Eastbound Rate Agreement*, 26 S.R.R. 386, 387, 1992 FMC LEXIS 78, \*2-3 (FMC 1992) (allowing the respondent’s request to file a reply and the complainant’s rebuttal, while recognizing “the fairness of granting the last word to the non-moving party”).

As the long line of cases on the subject demonstrate, the Commission has repeatedly manifested a desire to see parties afforded an opportunity to respond to new matters and to treat both parties fairly – while not allowing a sur-reply merely to rebut previous arguments. By failing to provide Respondents with the specific materials upon which it based its argument to withdraw the appeal and discontinue the action, the Complainant did not provide Respondents adequate information to respond. Allowing Respondents to reply after receiving these materials does not provide another bite at the proverbial apple, but rather allows Respondents for the first time to respond adequately after viewing the materials upon which the Complainant based its argument and which it improperly withheld. As such, the Commission grants Respondents leave to file the February 16, 2017, sur-reply and denies Complainant’s motion to strike.

## 2. “Sur-Reply” of September 16, 2016

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<sup>4</sup>Previous rule 502.74(a)(1), of the Commission’s Rules of Practice and Procedure, barred a reply to a reply unless a waiver under 46 C.F.R. § 502.10 was granted.

On September 16, 2016, Respondents submitted a Response to Complainant's Seriatim Motions of September 2, 2016, in which they argued, among other things, that Complainant improperly failed to serve them with the appendix to Complainant's reply and an un-redacted version of the reply. Complainant objected to what they characterized as a sur-reply on September 20, 2016, by filing a Response to Respondents' Unauthorized Sur-Reply, arguing that Respondents already possessed the settlement agreement, and that the request to be served with it amounted to fraudulent conduct.<sup>5</sup> Response to Respondents' Unauthorized Sur-Reply at 1-2.

As addressed above, the Commission has repeatedly manifested a desire to see parties afforded an opportunity to respond to new matters, and to treat both parties fairly -- while not granting parties leave to file repetitious briefs or to make arguments that could have been made earlier. Here, Respondents' September 16, 2016, brief addressed new arguments and new evidence raised by Complainants. Specifically, the Complainant's September 2, 2016, reply in support of motion to withdraw/discontinue, the appendix thereto, and the request for confidentiality, contained new arguments and new materials (a transcript and a settlement agreement). In responding, the Respondents were addressing a new argument for confidentiality of the settlement agreement and transcript, as well as new arguments alleging bad faith and estoppel.<sup>6</sup> Complainant's Reply on the Respondents' Motion at 5. As Respondents' September 16, 2016, sur-reply was the first opportunity for Respondents to address the Complainant's new grounds and added materials, as well as the issue of confidentiality, the Commission grants Respondents leave to file the sur-reply.

#### B. Motion to Discontinue the Action

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<sup>5</sup> Complainant did not submit any testimony, documentation, or other evidence to sufficiently establish these assertions.

<sup>6</sup> The Commission addressed these issues in the Commission's Memorandum Opinion and Order served January 5, 2017.

An action may be voluntarily dismissed: (a) by the complainant unilaterally in the early stages of a case; (b) by stipulation of the parties; or (c) by order of the presiding officer at the complainant's request. 46 C.F.R. § 502.72; *see also* 46 C.F.R. § 502.72(a)(3) (“[A]n action may be dismissed at the complainant's request only by order of the presiding officer, on terms the presiding officer considers proper. If the motion is based on a settlement by the parties, the settlement agreement must be submitted with the motion for determination . . .”).

No party disagrees that it is too late for Complainant to unilaterally dismiss or discontinue the action under 46 C.F.R. § 502.72(a)(1), as, by failing to make his request until after the answer was filed, Complainant failed to make a timely request for a voluntary withdrawal. Nor is there a stipulation of dismissal signed by all the parties or a valid settlement agreement. Pertaining to the existence of a valid settlement agreement, Complainant has argued that the Settlement Agreement and Transcript confirmed that the parties agreed to withdraw the entire Complaint, including any claims for attorney fees. *See* Reply on Respondents' Motion at 3-4. Moreover, Complainant has provided an email that demonstrates Respondents, not Complainant, drafted the Settlement Agreement, which Complainant has manifested a desire to finalize. *See* Complainant's Motion to Strike Respondents' Unauthorized Sur-Reply at 2-3. Nevertheless, although the parties both manifested a willingness to consider a full settlement, the Settlement Agreement was never signed by Respondents and at this point, the parties have not jointly decided that settlement is in their best interest. Despite a Commission policy favoring settlement, there are not sufficient grounds to dismiss the action as a joint stipulation or settlement. *See Delhi Petroleum Pty. Ltd. v. U.S. Atl. & Gulf Australia – New Zealand Conf. and Columbus Line, Inc.*, 24 S.R.R. 1129, 1134 (ALJ 1988) (noting that a factor to be considered in the Commission approving a settlement agreement between the parties is whether the parties have decided that the “benefits that might result from vindication of their positions would be outweighed by the extensive

costs of continued litigation”); *Old Ben Coal Co. v. Sea-Land Serv.*, 18 S.R.R. 1085, 1093 (ALJ 1978) (“If a proffered Settlement does not appear to violate any law or policy and is free of fraud, duress, undue influence, mistake or other defects which might make it unapprovable despite the strong policy of the law encouraging approval of settlements, the settlement will probably pass muster and receive approval.”).

The remaining question, therefore, is whether grounds exist for the Commission to grant Complainant’s late-stage request for voluntary dismissal over Respondents’ objections. As stated above, the Commission can dismiss an action on terms the Commission determines proper, and the Commission is not limited to using a settlement agreement or joint stipulation as the basis. *See* 46 C.F.R. § 502.72(a)(3). Moreover, the 2012 final rule amending 46 C.F.R. Part 502 states that “Section 502.72 clarifies the process for seeking voluntary and involuntary dismissals. Without such a rule, parties were not always certain how to present these dismissals. The rule is similar to FRCP 41.” 77 Fed. Reg. 61519, 61523 (Oct. 10, 2012). The Commission may also look to the Federal Rules of Civil Procedure (“FRCP”) for guidance. *See* 46 C.F.R. § 502.12;<sup>7</sup> *see also*, *Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, 31 S.R.R. 635, 635-36, 2009 FMC LEXIS 40, at \*6 (ALJ 2009) (applying FRCP 41(a)(2), by way of 46 C.F.R. § 502.12, and allowing a dismissal, because the Commission did “not have a specific rule to cover a voluntary request/motion to dismiss” and because it would be a waste of resources for the Commission and moving party to litigate.); *Greenwest Activewear, Inc. v. K.E.I. Enterprise*, 31 S.R.R. 497, 501, 2008 FMC LEXIS 16, at \*13-14 (ALJ 2008) (applying FRCP 41(a)(2) and granting request to voluntarily dismiss complaint with prejudice); *Carolina Marine Handling, Inc. v. Charleston Int’l Projects, Inc.*, 30 S.R.R. 1347,

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<sup>7</sup> “In proceedings under this part, for situations which are not covered by a specific Commission rule, the Federal Rules of Civil Procedure will be followed to the extent that they are consistent with sound administrative practice.” 46 C.F.R. § 502.12.

1347, 2007 FMC LEXIS 28, at \*1 (ALJ 2007) (applying FRCP 41(a)(2) and granting request to voluntarily dismiss complaint with prejudice); *James J. Flanagan Shipping Corp. v. Lake Charles Stevedores, Inc.*, 28 S.R.R. 1263, 1264, 2000 FMC LEXIS 16, at \*1-3 (ALJ 2000) (applying FRCP 41(a)(2) and granting request to voluntarily dismiss counter-complaint without prejudice); *Trek Bicycle Corp. v. Classic Cargo Int'l, Inc.*, 28 S.R.R. 1074, 1075, 1999 FMC LEXIS 12, at \*4 (ALJ 1999) (“The Commission as well as the federal courts respect the rights of complainants to withdraw or seek dismissal of their complaints . . . . It has also been recognized that complainants should not be compelled to litigate cases if they choose not to do so.”); *Worldlink Logistics, Inc. v. Hyundai Merchant Marine Co., Ltd.* 1993 FMC LEXIS 57, at \*1-2 (ALJ 1993) (applying FRCP 41(a)(2), after opening pleadings had been filed, and granting request to voluntarily dismiss complaint without prejudice).

As the cases above noted before 46 C.F.R. § 502.72(a)(3) was promulgated, FRCP 41(a)(2) permits a plaintiff to request dismissal of an action on terms that the presiding authority “considers proper.” Fed. R. Civ. P. 41(a)(2).<sup>8</sup> Under this rule, a plaintiff may voluntarily dismiss its own case as long as there is no prejudice to another party. *Cabrera v. Esso Std. Oil Co. P.R.*, 723 F.3d 82, 87 (1st Cir. 2013).<sup>9</sup> Moreover, the fact that a party refuses to sign a stipulation is not a bar to finding grounds for a voluntary dismissal pursuant to FRCP 41(a)(2). See *Guar. Co. of N. AM. USA v. Metro Contr., Inc.*, No.:

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<sup>8</sup> “Except as provided in Rule 41(a)(1), an action may be dismissed at the plaintiff’s request only by court order, on terms that the court considers proper. If a defendant has pleaded a counterclaim before being served with the plaintiff’s motion to dismiss, the action may be dismissed over the defendant’s objection only if the counterclaim can remain pending for independent adjudication. Unless the order states otherwise, a dismissal under this paragraph (2) is without prejudice.” Fed. R. Civ. P. 41(a)(2).

<sup>9</sup> “The rule also provides that . . . dismissal without prejudice is the norm, ‘unless the court finds that the defendant will suffer legal prejudice’ . . . The mere prospect of a subsequent lawsuit does not constitute such prejudice.” *Cabrera v. Esso Std. Oil Co. P.R.*, 723 F.3d at 87 (citing *P.R. Mar. Shipping Auth. v. Leith*, 668 F.2d 46, 50 (1st Cir. 1981)).

2:13-cv-02266-PMD, 2015 U.S. Dist. LEXIS 9490, at \*8-14 (D.S.C. Jan. 28, 2015) (finding voluntary dismissal was warranted under FRCP 41(a)(2) where an insurer filed an indemnity action against an indemnitor and two guarantors, and wherein the indemnitor and one guarantor signed a stipulation of dismissal, but where the other guarantor refused to sign the stipulation).

Ultimately, a court “enjoys broad discretion in determining whether to allow a voluntary dismissal under Rule 41(a)(2).” *Arias v. Cameron*, 776 F.3d 1262, 1268 (11th Cir. 2015). “Generally speaking, a motion for voluntary dismissal should be granted unless the defendant will suffer clear legal prejudice other than the mere prospect of a second lawsuit.” *Id.* “The primary force of [Rule] 41(a)(2) is to empower district courts to exercise discretion over voluntary dismissals . . . .” *GO Computer, Inc. v. Microsoft Corp.*, 508 F.3d 170, 177 (4th Cir. 2007). “Although the decision is committed to the sound discretion of the trial court, the ‘purpose of Rule 41(a)(2) is freely to allow voluntary dismissals unless the parties will be unfairly prejudiced.’” *Guar. Co. of N. AM. USA*, 2015 U.S. Dist. LEXIS 9490 at \*9 (D.S.C. Jan. 28, 2015) (citing *Davis v. USX Corp.*, 819 F.2d 1270, 1273 (4th Cir. 1987)).

In this matter, the ALJ has already dismissed the Complaint. *Baltic Auto Shipping Inc. v. Hitrinov*, 33 S.R.R. 1238, 1245 (ALJ 2015). Allowing the Complainant’s Motion to Withdraw Appeal and Discontinue Action will not harm the defendant. Moreover, it will only cause a waste of the Commission’s resources to litigate matters the Complainant is willing to no longer contest and it would not respect the Complainant’s right to not litigate against its will. Therefore, the Commission grants the request for withdrawal and dismissal of the action in its entirety, with prejudice, in part, pursuant to 46 C.F.R. § 502.72(a)(3).<sup>10</sup>

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<sup>10</sup>Complainant also insists that Respondents have acted in bad faith. Circumstances that indicate bad faith . . . are present “‘where a party brings or maintains an unfounded suit or withholds action to which the opposing party is patently entitled. . . .’” *Nepera Chemical Inc. v. Sea-Land Service Inc.*, 794 F.2d 688 (D.C. Cir. 1986) (quoting *Cahn v. Antioch Univ.*, 482 A.2d 120, 132-133 (D.C. 1984)). There

With respect to the part of Complainant's motion requesting that the Commission extinguish the ability of either party to seek attorney fees, the Commission denies this request. The award of attorney fees in Shipping Act complaint proceedings is governed by statute and the Commission's implementing regulations. *See* 46 U.S.C. § 41305(e); 46 C.F.R. § 502.254. Specifically, the Commission may, upon petition, award the prevailing party reasonable attorney fees. 46 C.F.R. § 502.254(a). It would therefore be inappropriate for the Commission to terminate a party's statutory right to seek attorney fees based on the unilateral request of the opposing party. This does not mean, however, that the Commission would necessarily award attorney fees in this proceeding upon receipt of a petition. Eligibility and entitlement to fees would be determined in accordance with the principles laid out in *Edaf Antillas, Inc. v. Crowley Caribbean Logistics, LLC*, Docket No. 14-04, 2016 FMC LEXIS 58 (FMC Sep. 14, 2016) and the guidance included in the Commission's final rule implementing the amended attorney-fee award provisions of the Shipping Act. *See* 81 Fed. Reg. 10509 (Mar. 1, 2016).

Costs and expenses, however, are not awardable under the Shipping Act for claims adjudicated by the Commission. *See Tienshan, Inc. v. Tianjin Hua Feng Transp. Agency Co., Ltd.*, 32 S.R.R. 52, 67 (ALJ 2011) (*Tienshan*); *Global Transporte Oceanico S.A. v. Coler Independent Lines Co.*, 28 S.R.R. 1162, 1163 n.5 (ALJ 1999) (the term "attorney's fees" does not include costs). Complainant's request that the Commission extinguish the parties' ability to seek cost is therefore moot.

### III. Conclusion

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does not appear to be any Commission precedent on dismissing an action because one party refuses to agree to a settlement or to support a finding of bad faith in this regard.

The Commission grants the Complainant's Motion to Withdraw Appeal and Discontinue Action in part and denies in part. Pursuant to Commission Rule 254, the prevailing party may file a petition for attorney fees after a decision becomes final. 46 C.F.R. § 502.254.

THEREFORE, IT IS ORDERED, that the Complaint against Respondents, Michael Hitrinov a/k/a Michael Khitrinov and Empire United Lines Co. Inc., be dismissed with prejudice.

By the Commission.

Rachel E. Dickon  
Assistant Secretary